Trade Fail Report

Date: 11 July 2024

Analyst Name: Operations Analyst, Private Wealth Management Operations

Client Name: Client A (UHNW client - purchase of a Takashi Murakami painting)

1. Summary of Identified Issues

Issue 1: Insufficient settled funds for the purchase. TXN001 (Buy, $1,000,000, 1 Jul) is pending 'Awaiting funds transfer' and TXN008 (Buy, $700,000, 8 Jul) is pending 'Funds not available'. The $2,200,000 sale that should release cash (TXN010, 10 Jul) is also still pending 'Awaiting documentation', so its proceeds cannot be used yet. In total, $5.7M of Client A buys and $2.2M of sale proceeds are pending, while only the $2.0M sale on 2 Jul (TXN002) has settled. Impact: the client may not have cleared funds on the payment date for the painting.

Issue 2: TXN003 (Buy, $1,500,000, 3 Jul) is on hold 'Pending due to compliance review'. A large, high-value-asset transaction (art purchase) naturally triggers KYC/AML and source-of-funds checks. Impact: the trade cannot settle until Compliance clears it, which directly delays access to funds.

Issue 3: TXN006 (Buy, $2,500,000, 6 Jul) is pending 'Awaiting approval', and TXN010 is waiting on client documentation. Missing internal sign-off and paperwork are blocking the two largest open items for Client A. Impact: settlement fails or is pushed past the purchase deadline, with possible late-settlement costs.

2. Actions Taken

Action for Issue 1: Reconciled Client A's cash and positions against the report; confirmed with the Trading Desk and Settlements the expected settlement date of TXN001 and the reason funds are unavailable for TXN008; requested prioritised processing of TXN010 once documents are received; prepared a funding schedule showing the cash required by the purchase date.

Action for Issue 2: Escalated TXN003 to Compliance and Risk Management, flagged the time-sensitive purchase deadline, and supplied all available KYC/AML and source-of-funds information so the review can be completed without further back-and-forth.

Action for Issue 3: Contacted the approving manager / Asset Transfer and Authorization team to obtain sign-off for TXN006, and asked the client's Private Wealth Advisor to collect the outstanding documents for TXN010 (e.g., signed instruction letter and verified ID), with a clear deadline.

3. Teams Involved

Team for Issue 1: Trading Desk and Trading & Settlement Operations (with the client's Private Wealth Management team).

Team for Issue 2: Compliance and Risk Management.

Team for Issue 3: Asset Transfer and Authorization (approvals) and the Private Wealth Management advisor for client documentation. IT Department to be engaged if the approval workflow system is causing the delay.

4. Risk Assessment

Risk for Issue 1: Settlement failure and inability to pay for the painting on time - financial loss (lost purchase, penalties or overdraft costs) and client dissatisfaction.

Risk for Issue 2: Regulatory risk - if the review uncovers KYC/AML concerns, proceeding would breach regulations; if it is slow, the purchase deadline is missed. Both carry reputational risk for the firm.

Risk for Issue 3: Operational risk from incomplete documentation and approvals - processing without them could allow unauthorised or fraudulent transfers; waiting too long creates settlement delays.

5. Mitigation Strategies

Mitigation for Issue 1: Daily cash forecast and reconciliation for Client A until the purchase settles; agree a contingency with the advisor (e.g., liquidating other liquid holdings or a short-term credit line, subject to client approval) if funds are not cleared in time.

Mitigation for Issue 2: Engage Compliance early with complete documentation; never bypass the review. Agree a target completion date that fits the purchase timeline.

Mitigation for Issue 3: Apply dual-control (four-eyes) approval for large transfers, use a document checklist before submitting trades, and set escalation points if approval is not received within 24 hours.

6. Follow-Up Actions

Follow-Up for Issue 1: Confirm settlement of TXN001, TXN008 and TXN010; update the client and advisor daily until the painting payment has cleared.

Follow-Up for Issue 2: Track the compliance review of TXN003 to completion and record the outcome and guidance received in the client file for audit purposes.

Follow-Up for Issue 3: Verify that approval and documents are received, then release TXN006 and TXN010 for settlement. Separately, raise TXN004 (Client B, 'Technical issue detected') with the IT Department so the same system issue does not affect Client A's trades.

7. Recommendations

Recommendation for Future Improvements: (1) Pre-clear funding, KYC/AML and documentation before the client commits to large, time-sensitive purchases; (2) set up automated alerts for trades pending more than 24-48 hours, routed to the responsible team; (3) maintain a standard document checklist for UHNW transfers; (4) consult a senior colleague early on high-value transactions and keep written records of guidance and decisions.